BUSINESS STRATEGY & TECHNOLOGY

May - 2026

Time allowed- 3:30 hours
Total marks- 100

[N.B. - The figures in the margin indicate full marks. Questions must be answered in English. Examiner will take account of the quality of language and of the manner in which the answers are presented. Different parts, if any, of the same question must be answered in one place in order of sequence.]

Marks

1. Karnafully Paper Products LTD (KPPL) was incorporated in 1968 and has been wholly owned by members of Khan family since that day. The board of directors comprises solely of their family members. The company manufactures newsprint for sale in the newspapers and magazine industry at a single site near Chattogram. In terms of the paper industry it may be regarded as a small to medium-sized manufacturing company.

The company profile:

Markets: The company's major customer has for many years been the Morning Star (MS) for which it is the sole supplier of newsprint. The contract is renewable each year and the price is determined on a cost-plus basis, with a mark-up of 25%.

Historically the Morning Star has made up of about 30% of the company's revenue, but during recent difficult trading conditions other business has suffered significantly. As a result, the Morning Star contract made up of about 40% of total revenue in KPCL latest accounting year. The remaining 60% of sales is mainly to magazines and free newspapers which are published and circulated across Bangladesh. Frequently orders have been won by KPCL's willingness to provide small quantities newsprint from short production runs and its promise of prompt delivery.

Raw material:

The major raw material for KPCL is pulp. Rather than rely on the major pulp manufacturer, which import timber from Scotland, Canada, and Malaysia, the company is supplied exclusively under short term contract from a Scottish privately owned mill, Pulp Products Ltd. (PPL) which process local soft woods.

In recent years KPCL's purchases have accounted for 8% to 10% of Pulp Products Ltd.'s revenue. Whilst these supplies of pulp are slightly more expensive than those can be purchased from the larger manufacturer, they have the advantages of short and certain delivery times, enabling KPCL to carry negligible inventories of raw materials.

Production: KPCL makes a single product, reels of newsprint. The company's manufacturing operations have been built up over time and as a result, a small proportion of its operating non-current assets are replaced each year. Given the scale of its activities, the business is not as capital intensive as many of the larger operators in the industry, consequently it has a higher proportion of labor cost per ton of output than the industry average. In fact, KPCL struggles to compete when tendering for major orders as it uses more pulp per ton of output than would be the case if it could operate large scale, modern machinery. In compensation, however, set up cost are much lower, this enables small production runs to be, ensuring greater flexibility in production scheduling. Due to weak trading volumes the company has only been operating at 70% of productive capacity this year, and a similar level of 30% surplus capacity is expected next year.

Competitive Environment:

The paper industry has been affected significantly by a recission in the newspaper industry, in favour of online news media, with most companies operating with excess capacity. This in turn has led them to cut margins when tendering for contract. The following are other features of the competitive environment.

- Depressed pulp and paper prices (a reflection of their historic volatility)
- The failure of one or two small operators and downsizing by the survivors as they rationalize their operations.
- An increased tendency towards diversification.

Strategic dilemma:

The Chairman of KPCL has recently been informed that the Morning Star (MS) has been acquired by a multinational and that when the existing commitment at the end of this year, the contract to supply newsprint will be put out to tender on an annual basis. He has been told that the terms of new contract will be that all the newsprint which the Morning Star requires next year will be supplied by the successful bidder at the predetermined tender price per reel. The bids have to be submitted by 30 September and the successful bid will be announced a month later. The contract will not be awarded solely on the basis of price, but this is likely to be major factor. As the board meeting called to discuss these developments the following views were expressed.

The marketing director: It has long been my view that we have been over -dependent upon the Morning Star as a customer. Even if we do win the contract next year, there is no guarantee that we will be able to retain in future. In my opinion it is therefore essential that we seek out new markets. In particular, we are too small to be commodity producer of newsprint without the Morning Star contract. We need to develop into niche markets within with in the paper sector by producing differentiated branded products. In fact, there is currently an opportunity for us. A small local firm Pharmopaper Ltd. is currently looking for a buyer. It has been very profitable, specialising in exploring the growing demand in the market for pharmaceutical paper products, but it has experienced severe cash flow problem recently due to overtrading.

The production director said I agree to with the need to diversify, but making newsprint is what we are good at. We have no experience of other markets. I have just been told that Pulp Products Ltd.'s shareholders are looking to sell the company due to recent losses arising from the weak world pulp price. In my opinion this represents an ideal opportunity to secure pulp supplies at low cost. I am also in favour of purchasing more modern large-scale machinery in order to drive down marginal costs. This will enable us to compete in the long run in our core activity.

The finance director: Even if an acquisition strategy is felt to be appropriate, it is very difficult to evaluate the feasibility of the two options in precise monetary terms as much will depend on the prices of the two businesses. In my judgement KPCL is sufficiently liquid to fund one or other of the options suggested but, given current uncertainties. It would be difficult to raise finance for both of them.

The Chairman viewed that his immediate concern is that first we need to consider how to proceed with a strategic plan without knowing whether we will be successful in retaining Morning Star contract, and second, how are we to decide the price at which we should tender for that contract? The finance director has produced some figures that can be used to calculate the minimum price to cover our cost., but the actual price at which we tender will have to be based on wider considerations.

Requirements:

As a management consultant you have been assigned to prepare note for the directors on the following issues:

a) Assess the factors to be considered with respect to the price at which the company should tender for the Morning Star contract. 6

b) Analyse the current strategic position of the company, employing SWOT or another appropriate method of assessment. 6

c) Evaluate the future strategic options available to the company by appraising the factors to be considered with respect to both: 8

- The general appropriateness of a strategy of diversification to the company
- The particular diversification/ acquisition strategy suggested.

2. You are a senior manager of a chartered accountant firm., from your working experience you come across the following three situations:

(i) Russel Ltd: Your firm has been acting as consultants to Russel Ltd. providing advice about need to cut costs and restructure the company's manufacturing operations. In a recent meeting with the production director of Russel Ltd, you are made aware that the entire consulting team will be invited to the company's Christmas celebrations which run over the course of a weekend and are being held at expensive hotel.

(ii) Seven Star: One of your partners, Mr. Rashed, has been the engagement partner for a client of Seven Star for the last 11 years. He has excellent knowledge of the client and knows all of the directors of the company exceptionally well.

(iii) Maple Leaf Ltd.: Mr. Munir, the principal consultant in the firm, has been assisting a client Maple Leaf to help improve the company's performance. Mr. Munir's daughter Jasmin, recently joined the finance department of Maple Leaf's largest competitor.

Requirements:

a) Explain the ethical threats which may affect the independence of the accountant/consultant featured in the three scenarios. 5

b) Explain how each threat might be reduced or mitigated. 5

3. a) BMK is a small restaurant chain, consisting of eight restaurants, in an attractive part of the country that is popular with tourists. BMK has been owned by the same family for the previous 15 years and has always traded at a profit. However, a number of factors have meant that BMK is now in danger of making a trading loss. There has been a substantial drop in the number of tourists visiting the region while, at the same time, the prices of many of the foodstuffs and drinks used in its restaurants has increased. Added to this, the local economy has shrunk, with several large employers reducing the size of their workforce.

The owners of BMK commissioned a restaurant consultant to give them an independent view of their business. The consultant observed that the eight restaurants were all very different in appearance.

They also served menus that were very different; for example, one restaurant which was located on a barge in a coastal town specialised in fish dishes, whereas another restaurant 20 miles away had a good reputation as a steak house. The prices varied greatly among the restaurants: one restaurant in a historic country house offered 'fine dining' and was extremely expensive; yet another located near a busy railway station served mainly fast food and claimed that its prices were 'the cheapest in town'. Three of BMK's restaurants offered a 'middle of the road' dining experience with conventional menus and average prices. Some of the restaurants had licences that enabled them to serve alcohol with their meals but three restaurants did not have such licences. One restaurant had a good trade in children's birthday parties, whereas the restaurant in the historic country house did not admit diners under the age of 18.

The consultant recommended that BMK should examine these differences but did not suggest how. The owners responded that the chain had grown organically over a number of years and that the location, style and pricing decisions made in each restaurant had all been made at different times and depended on trends current at that time.

Requirement:

Advise the owners of BMK on how the application of Porter's generic strategies model could assist them in maintaining or improving the profitability of their restaurants. 12

b) David & Don Ltd. (DD) is a manufacturer of specialised electronic tracking equipment used by police forces. The equipment allows the tagging, and tracing, of valuable equipment and also of prisoners. The company, which was only established five years ago, has a virtual monopoly in its own country.

However, there are limited opportunities for growth in that country. As in most countries, the police forces in DD's home country are funded by the Government. The board of directors, which owns the company, wishes to see the same level of growth in revenue and profits continue. DD's equipment, which has been available for five years, is protected by a number of patents and involves some sophisticated technology, both in terms of the manufacturing process and the components that each device contains. Since the equipment is physically robust, there is only a limited replacement market. The external cases, used for carrying the tracking equipment, are bought in from an outside supplier, but most of the other components are manufactured by DD in its own factories.

DD's board of directors has decided that in order to pursue a growth strategy, it will need to develop an export market. It wants to develop a presence in all major markets in the world within a further five years. The MD has said that he expects the company to grow rapidly into a multinational company, operating in a number of countries. The board has identified a number of countries as possible areas in which DD might operate. However, the board recognises that elements of the political, economic, cultural and legislative environments in those countries differ from those that exist in DD's own country.

Requirement:

Evaluate four market entry strategies that DD could use to develop a market in one of its identified countries. 10

4. Shapla, an emerging force in Bangladesh's international e-commerce sector, through a strategy of affordable, trend-driven fast fashion, has achieved rapid growth and positioned the company at the center of a mounting sustainability crisis.

The core of Shapla's business model—and the broader fast fashion industry—is a relentless pursuit of growth that fosters overconsumption. This phenomenon involves depleting natural resources faster than they can be replenished, leading to a permanent ecological imbalance. While traditional leaders like Zara and H&M operate on quick cycles, Shapla has accelerated this further with: (i) Ultra-short product lifecycles-Constant launches create a "fear of missing out" (FOMO) and make items feel obsolete within weeks. (ii) Lower price points -Aggressive pricing reduces consumer price sensitivity, making clothing feel disposable. (iii) The Sustainability Paradox - Although Millennials and Gen Z express higher environmental values than older generations, their limited purchasing power often forces them toward brands like Shapla, whose cheap, trendy offerings unintentionally align with their budgets but contradict their ethics.

According to a well-known rating framework, the retail apparel sector, including Shapla, faced critical environmental issues like a large product carbon footprint, raw material sourcing, and pollution and waste. Social concerns included supply chain labour standards and chemical safety, while governance concerns related to transparency and accountability. One significant environmental challenge for Shapla was quantifying its product carbon footprint due to the complexity of its supply chain. According to rating framework, the product carbon footprint environment was regarded as the second most important

environmental issue to determine an apparel company's environmental score. Another concern was the sourcing of raw materials. Pressure for constant growth and customer demand for cheap, rapidly changing fashion had led to the widespread use of environmentally unfriendly materials. These real time businesses relied on synthetic materials from fossil fuels because they were more affordable, adaptable and widely available than natural materials.

The fashion industry ranked as the second largest polluter in the world making pollution and waste a major environmental challenge. Fast fashion brands that sought to stay current by offering low cost apparel has led to a swift turnover of fashion trends where much of the clothing quickly became unfashionable. Such overproduction contributed to more pollution and waste. The fashion industry including Shapla also faced social concerns related to labour exploitation and human rights violations. Report highlighted Shapla's outsourcing practices, prioritizing cost cutting at the expense of fair labour conditions. Another challenge facing Shapla was the frequent allegations of copyright infringement. In July 2023, H&M filed legal papers accusing Shapla of violating copyright. In 2025, three designers sued the company, alleging Shapla's copyright infringement was so extreme that could be qualified as racketeering. Governance concerns included the notable lack of transparency in Shapla's ESG reports. Although Shapla released two ESG report in both 2023 and 2024, these documents contained only scant insights into the company's manufacturing protocols and supplier details. This extreme lack of disclosures triggered notable criticism, primarily due to the opacity of Shapla's internal operations. Beyond the realm of ESG, Shapla confronted another crucial issue: the lack of cultural sensitivity of in its offerings. Shapla faced backlash due to misrepresenting cultural symbols and using imagery that could be considered offensive or discriminatory.

After decades of "throwaway" fashion trends, the fast fashion industry was looking to change. In recent years, the industry had been making collective efforts to address ESG concerns, particularly in areas such as the recycling, resale, rental, reuse, repair, and sustainability of materials. One typical initiative was H & M's Recycle Project. That effort launched in 2015, aimed to champion the utilization of recycled garments and reorient the fast fashion sector towards sustainability. Furthermore, the fashion industry underwent a profound exploration of sustainable materials, which includes sourcing fabrics made from organic, recycled, or low impact materials to minimize carbon emissions. For example, many businesses used textiles manufactured from natural materials such as hemp, ramie or bamboo instead of environmentally polluting polyester. The fast fashion sector also took strides to bolster transparency and accountability by adopting ESG reporting. Following suit, Shapla published its first sustainability report in 2023. In an encouraging reflection of industry wide transformation, many fast fashion brands now had dedicated sustainability sections on their websites, showcasing their commitments, actions and year over year progress toward sustainability goals. Other companies that leveraged digital technologies to improve ESG performance include H & M and Gap Inc. H & M implemented IT solutions to improve its supply chain sustainability. In 2024, it jointly built a pioneering traceability platform by deploying blockchain technology to trace the origin of materials, ensuring transparency and responsible sourcing. Gap Inc. further leveraged IT to improve factory workers conditions by developing mobile applications that enabling them to access information about their rights and health.

To fulfill its ESG goals, in 2024, Shapla developed evoluShapla, a holistic roadmap with actionable goals to tackle key ESG issues and help guide its next step. To tackle the issue of its carbon footprint, Shapla collaborated with Intertek, a renowned total quality assurance provider, to assess its carbon footprint impact for 2023. Shapla also collaborated with a leading global renewable power and decarbonization business firm to mitigate greenhouse gas emissions in the supply chain. In 2024, Shapla implemented a strong cotton traceability program to improve raw material tracing, enhance supply chain diligence, and promote the use of preferred fibres. The company maintained strict documentation requirements and used a proprietary traceability management system to track the cotton supply chain from yarn to finished products. Suppliers were required to provide necessary documents, including certificates of raw materials origin, export/import records and purchase orders.

Shapla actively worked to improve its labour standards as well as chemical and product safety. Sheik tackled labour exploitation and strove to improve global standards by launching a supplier community empowerment program in 2024. Through the program, Shapla implemented long term initiatives to empower its partners across four key pillars: factory enhancement, technology innovation, training support and community support. Shapla also implemented a feedback system that allowed employees to anonymously voice their issues through email, phone or WeChat. The company engaged with industry experts to strengthen its product compliance practices relating to chemical and product safety. It maintained a restricted substance list aligned with international regulations and mandated that all partner suppliers comply with it for their materials and products. In response to the copyright infringement issue, the company adopted a policy of maintaining a "zero tolerance" towards copyright infringement. When

infringement was detected, the company immediately stopped production of the offending item. When infringement was detected, the company immediately stopped production of the offending item. Moreover, the company employed image recognition technology to identify potential infringement cases and conducted manual reviews. From the governance perspective, Shapla's new appointment of global head for ESG signals the company's unwavering commitment to sustainability. Shapla's pursuit of ESG usage yielded significant advancements, which became prominently displayed and readily accessible on the company's corporate site. Shapla also opened a window into its ethos and practices via its ESG website and annual report, making this information publicly available for stakeholders.

Shapla had been highly favored by the capital market throughout its financing journey. Since 2015, the company had successfully completed at least seven rounds of financing. Such a strong financial track record positioned the company on a promising trajectory toward a potential IPO. However, concerns emerged due a decline in Shapla valuation, which dropped from BDT 200 billion in 2024 to BDT 136 billion. The public now wondered whether Shapla's valuation increase might be impeded by these noteworthy ESG Concerns. Additionally, efforts to enhance ESG performance often came with significant financial costs. Improving governance practices and management strategies sometimes entailed hiring compliance and sustainability.

Requirements:

a) (i) Identify and explain the ESG challenges within the fast fashion industry by delving into environmental, social and governance aspects separately.
(ii) Identify and explain the specific ESG challenges faced by Shapla. 5

b) Based on the information given in the case, describe the collective efforts made by the entire fast fashion industry to tackle ESG challenges. 5

c) Explore the measures taken by Shapla to address its specific ESG challenges using the three dimensional ESG framework. 5

d) Propose some strategies for how Shapla can further prepare for a potential IPO. Consider how Shapla can leverage its competitive edge in digitalization into a sustainable fast fashion brand. 5

5. Modern Kitchen Ltd. is a manufacturer of kitchen appliances. The chief executive is R. Robin, whose father Mr. Habib originally set up the business 14 years ago. The company has a good reputation for the production of upmarket refrigerators for built in kitchens, following an invention by Mr. Habib of a fan to run at low speeds and keep food fresher for far longer than conventional products. The refrigerators have always sold at a premium price, but in the last 18 months, demand has levelled off as the market sector has become saturated. The main customers have been department stores and electrical retailers. Due to Modern Kitchen being a relative newcomer to the kitchen appliances market, it has had to give retailers a 60% trade discount on the price sold to the consumer, to help obtain floor space in stores.

The company floated on the stock market five years ago. Initially the share price rose as sales exceeded the expectations, but recently the price has fallen due to the decrease in demand for the fridges. Robin and their family own 40% of the share capital, and a further 45% is owned by institutional investors, which have been critical of the underperformance of the share price. The institutional investors have also been unhappy about Robin's domineering managerial style and Robin's refusal to allow more non-executive directors on the board despite support for such a move from other executive director and Modern Kitchen's current Chair. Robin feels that as their father set up the company and developed many of the initial products the board should always agree with Robin's views. Robin does not believe that the other are as committed to the company as they are, and so insists on being involved in all decisions. Robin believes that they have always made the right decisions for the company as they have a vested interest arising from their shareholding Robin has imposed their views by removing two of the directors in the past who voted against Robin's proposal. Robin is now aware that they need to support of the other directors to help turn the company around.

The company has tried to counter criticism regarding trading and falling share price by entering a new market. The development has just been completed of a new style machine that washes twice the volume of a traditional washer, but in half time. It has taken a lot of time and expense to create the new machine, called the Spin King, but initial reaction by both retailer and consumers has been favourable. A new division will be set up to produce and market the Spin King.

At the board meeting on 3 March 2024, the finance director revealed the following projections for Spin King:

Annual factory rent	944,000
Material cost per unit	80
Production labour per unit	72
Advertising cost per annum	350,000
Initial investment in machinery	4,500,000

It is estimated that the Spin King will be launched in April 2025. The new machinery has an expected life span of 5 years with no residual value. Modern Kitchen does not have sufficient cash to buy the new production machinery, but the board is hoping to persuade institutional investors to support a new share issue that will raise funds to finance the capital expenditure. The manager of the new division will be paid a bonus based on the return on investment.

Market research analysis indicates that demand for Spin King will be 60,000 units per annum at a trade price of BDT 200 per unit, and 112,000 units per annum, if the trade price is 160 per unit. The purchasing director is confident that they can obtain a 15% discount on all material cost for the Spin King if Modern Kitchen is buying materials for more than 100000 units per annum.

Requirements:

a) Spreading the cost of the new machinery evenly over the life of the asset, determine the annual output required for the Spin King division to achieve breakeven point each year at both the suggested price points. 6

b) Comment on the significance of these calculations to Modern Kitchen. 4

c) Discuss the merits of Modern Kitchen appointing more non-executive directors. Explain the benefits of Robin pursuing a less authoritarian role in running of the company, and how as a consequence the board could be made a more effective group for decision making. 6

6. Western edTech Ltd. is a profit-making training provider with over 10,000 students in various centres across the country. It offers courses in a range of employment-related areas including literacy and numeracy, book-keeping, ICT, management, as well as vocational training. Nearly 3,000 of Western edTech Ltd.'s students participate in English as a foreign language and Teaching English as a foreign language courses. This followed on from the announcement three years ago that Western edTech Ltd. was to be the 'preferred provider' for a major EU programme to promote language skills. The company's management team believes that this is a major growth area for the business and is projecting that the number of participants on these programmes could increase to as many as 6,000 students per year over the next five years.

By contrast, other types of courses have experienced falling student numbers. In particular, the number of students taking Western edTech Ltd.'s short courses (eight weeks or less) in areas such as book-keeping and ICT has fallen by 50% over the past two years. These falling numbers are putting pressure on the company's financial results.

Classes are delivered in Western edTech Ltd.'s own facilities by casual staff who are not employees but are contracted to deliver specific courses. given differences in teaching delivery and cost profiles between courses, the optimal number of students in a class may differ from one course to another. The company has a rule that courses will not run with less than ten students, and the breakeven number of students in any class is probably closer to 15 students per class.

Given the changes seen in Western edTech Ltd. and in its sector in recent years, the senior management team has decided to undertake a strategic review of the business, to include a root and branch review of its Information systems.

The recently appointed head of IT and Corporate services, Aminul Islam, has expressed significant concern about the lack of investment in the company's Information systems in recent years. In particular, he feels that the student interface 'My Western edTech Ltd.' is not user-friendly and dated compared to the student interfaces of rival organisations. Moreover, it exists solely to provide online learning resources – students cannot see information relating to their registration, progress or even information about their fee payments. Aside from this, Western edTech Ltd.'s finance function uses unintegrated accounting software that requires significant manual input, standalone payroll software, and the organisation has not implemented any enterprise applications.

Requirements:

Based on a critical evaluation of the above circumstances, you are required to:

a) Discuss the impact of the internet on the competitive forces facing Western edTech Ltd. 6

b) Assess the extent to which engaging with cloud computing would assist Western edTech Ltd. in gaining competitive advantage over its rivals. 4

c) What aspects of Western edTech Ltd.'s system, as described, would be relevant in choosing between a private and public cloud? 2

---The End---